



ECON 301: Managerial Economics

Fall 2026 — First Eight-Week Session (August 24 – October 16, 2026)

Department of Economics · Strome College of Business · Old Dominion University

Course Information

- **Instructor:** Dr. Rex Sitti
- **Course title, number, section:** Managerial Economics, ECON 301, CRN 20399
- **Semester and year:** Fall 2026, first eight-week session (August 24 – October 16, 2026)
- **Credit hours:** 3
- **Delivery mode:** Asynchronous online
- **Office location:** Strome College of Business, Constant Hall, Room 2033
- **Email:** rsitti@odu.edu
- **Office hours:** Tuesday and Wednesday, 2:00 – 3:30 p.m. ET, or by appointment
- **Zoom:** <https://odu.zoom.us/j/92978299777?pwd=vua6cn5qqzKVs3zPLRgoxHY2jHk8Kb.1>

I routinely check email and Canvas inbox messages daily during the week. Please anticipate a response by the end of the next working day. Because this is an accelerated eight-week course, contact me early rather than waiting until a deadline is imminent.

Course Description

Catalog Description

Examines the application of economic theory and methodology to managerial decision making and strategy. Key topics are demand analysis, economic forecasting, production, cost analysis, the economics of organization, market structure and strategic behavior, pricing techniques, and government regulation and its implications for firm behavior. Emphasis is placed on the global context of managerial decisions.

Course Description

This course trains you to think like a decision-maker. Whether you work in business, government, a nonprofit, or your own venture, you will repeatedly face questions like: Should we raise the price? Will

sales drop a little or a lot? Should we expand production? What is the smartest move if a competitor responds?

Managerial Economics gives you a practical toolkit for answering those questions. You will learn to predict customer responses using elasticity, to understand what it truly costs to produce and to scale, and to make better decisions when rivals react, using game theory. You will also study real-world pricing strategies, including price discrimination, and learn to avoid costly mistakes caused by hidden information and hidden actions.

This is a 3-credit-hour course delivered in eight weeks rather than sixteen. The workload is the same as the full-term section, compressed into half the time. Plan for approximately fifteen to eighteen hours per week for lectures, readings, practice, activities, and assignments. Falling one week behind in an eight-week course is equivalent to falling two weeks behind in a full-term course, so the single most important habit in this class is starting each module early.

Prerequisites

ECON 201S and ECON 202S and BNAL 206, in addition to a declared major at the University or permission of the Dean's Office. Pre- or corequisite: MATH 200 or equivalent.

Required Materials

Required Textbook

- **Title:** Managerial Economics and Business Strategy
- **Authors:** Michael R. Baye and Jeffrey T. Prince
- **Release:** 2025
- **ISBN:** 1264575432
- **Access:** Students access all course materials through McGraw-Hill Connect, linked from ODU Canvas. Connect registration instructions are posted on Canvas in the Start Here module. Complete registration during Week 1; Connect access is required to submit graded work.

Recommended Textbooks

The following OpenStax titles are free, openly licensed, and useful for review or additional practice. None is required.

- Greenlaw, Steven A., and David Shapiro (2017). *Principles of Microeconomics* 2e. Rice University (OpenStax). openstax.org/details/books/principles-microeconomics-2e
- Holmes, Alexander, Barbara Illowsky, and Susan Dean (2017). *Introductory Business Statistics*. Rice University (OpenStax). openstax.org/details/books/introductory-business-statistics
- Bright, David, et al. (2019). *Principles of Management*. Rice University (OpenStax). openstax.org/details/books/principles-management

- Dahlquist, Julie, and Rainford Knight (2022). *Principles of Finance*. Rice University (OpenStax). openstax.org/details/books/principles-finance

Technology Requirements

- **Hardware:** Internet access from any device capable of running a recently updated web browser. Many campus locations, including Perry Library, offer free computer and high-speed internet access with a valid ODU login.
- **Software:** Canvas, McGraw-Hill Connect, Microsoft 365 (Excel is required for the data analysis component), and a PDF reader such as Adobe Acrobat.
- **Support:** For problems with your ODU account, call (757) 683-3192 or email itshelp@odu.edu at any time, day or night.

Course Learning Objectives

Upon successful completion of this course, students will be able to:

- **CLO1 (Managerial Decision Toolkit):** Explain scarcity and trade-offs, apply opportunity cost and present value, distinguish economic from accounting profit, and use marginal analysis to determine the optimal level of a managerial control variable.
- **CLO2 (Markets and Equilibrium):** Explain how demand and supply determine equilibrium price and quantity, identify the factors that shift each curve, and evaluate how market shocks and interventions change the conditions a firm faces.
- **CLO3 (Elasticity and Revenue Forecasting):** Apply elasticities of demand as a quantitative tool to forecast changes in revenues, prices, and units sold, and explain the relationship between elasticity, total revenue, and marginal revenue.
- **CLO4 (Production and Cost Decisions):** Evaluate production and cost information and determine profit-improving output and scale decisions using marginal analysis and core cost concepts.
- **CLO5 (Market Structure and Firm Behavior):** Compare firm behavior across market structures and assess how competition, entry conditions, and market power influence pricing, output, and strategy.
- **CLO6 (Strategy, Pricing, and Information):** Apply normal-form and extensive-form game theory to formulate decisions in strategic environments; formulate pricing strategies that extract additional surplus, including price discrimination, two-part pricing, block pricing, and commodity bundling, and explain the conditions each requires; identify strategies for managing risk and for mitigating adverse selection and moral hazard; and explain how price-matching guarantees, brand loyalty programs, and randomized pricing enhance profits under intense price competition.
- **CLO7 (Communication and Data Analysis):** Explain economic issues clearly, concisely, and professionally in writing for a variety of audiences, and use appropriate quantitative and statistical techniques to support conclusions with evidence.

Grading Criteria

Your final grade is calculated from the following categories. All graded work is completed in McGraw-Hill Connect unless otherwise noted.

Task	Points	Percentage of Final Grade
Activity-Based Assignments (6 roleplays × 50 pts)	300	16.7%
Homework Assignments (6 × 100 pts)	600	33.3%
Case Study Midterm	300	16.7%
Comprehensive Final Exam	600	33.3%
Total	1,800	100.0%

Assignment Requirements

Activity-Based Assignments (Roleplays) — 300 points, 16.7%

Purpose: To place you inside a managerial decision and require you to act on it, rather than only describe the theory behind it.

Course Learning Objectives: CLO1–CLO6, depending on module.

Frequency: One per module, Modules 1 through 6. Activities 1 through 3 are due the Sunday that ends their module week (August 30, September 6, and September 13). Because Week 4 is reserved for the Case Study Midterm, Activity 4 is due September 27, Activity 5 is due October 4, and Activity 6 is due October 11.

Instructions: Complete the assigned Connect roleplay scenario for the module. Each roleplay is worth 50 points and allows two attempts; the higher score is recorded.

Deliverables: Submitted directly in McGraw-Hill Connect.

Evaluation Criteria: Automatically scored on the accuracy of decisions and calculations within the scenario.

Homework Assignments — 600 points, 33.3%

Purpose: To build procedural fluency with the quantitative tools of the course through repeated practice. Homework is your main opportunity to test your command of a module before it is assessed on the final exam. Treat it as practice for the exam, not as a box to check.

Course Learning Objectives: CLO1–CLO5, CLO7.

Frequency: One per module, Modules 1 through 6, on the same schedule as the activities. Homework 1 through 3 are due August 30, September 6, and September 13; Homework 4, 5, and 6 are due September 27, October 4, and October 11.

Instructions: Complete the assigned Connect problem set. Each assignment is worth 100 points and allows two attempts; the higher score is recorded. Because attempts are limited, work the problems on paper first and use your second attempt to correct genuine errors rather than to guess.

Deliverables: Submitted directly in McGraw-Hill Connect.

Evaluation Criteria: Automatically scored on the accuracy of final answers and required intermediate steps.

Case Study Midterm — 300 points, 16.7%

Purpose: To assess your ability to analyze an unstructured managerial problem and communicate an evidence-based recommendation in professional written form. This assignment serves as the midterm examination.

Course Learning Objectives: CLO2–CLO4, CLO7.

Frequency: Once. Opens Monday, September 7, 2026 and is due Sunday, September 20, 2026 at 11:59 p.m. ET.

Instructions: The case study is posted in Canvas. Read the case, then write a well-organized analysis that applies course concepts to the facts of the case, supports claims with evidence from the readings and any provided data, and states a clear recommendation. Cite your sources using any standard citation style – APA, MLA, Chicago, etc. – applied consistently.

Deliverables: Submit your case analysis as a Word or PDF file through Canvas Assignments.

Evaluation Criteria: Scored on the 100-point Case Study Rubric at the end of this syllabus — organization and structure, grammar, formatting and references, and economic analysis and application. The rubric score is multiplied by three to produce the 300-point grade.

Comprehensive Final Exam — 600 points, 33.3%

Purpose: To assess integrated command of the full managerial economics toolkit across all six modules.

Course Learning Objectives: CLO1–CLO7.

Frequency: Once. Open Monday, October 12 through Friday, October 16, 2026 at 11:59 p.m. ET.

Instructions: A timed, comprehensive exam in Connect covering Chapters 1, 2, 3, 5, 8, 10, 11, and 12. One attempt only. Do not begin the exam until you can complete it in a single uninterrupted sitting with a stable internet connection.

Deliverables: Completed in McGraw-Hill Connect.

Evaluation Criteria: Automatically scored. Ten designated multiple-choice questions also serve as the program assessment measure for Application of Economic Concepts.

Grading Scale

Letter grades are based on the following scale, out of 1,800 total points:

Letter Grade	Percentage	Points
A	93 – 100%	1,674 – 1,800
A-	90 – 92%	1,620 – 1,673
B+	87 – 89%	1,566 – 1,619
B	83 – 86%	1,494 – 1,565
B-	80 – 82%	1,440 – 1,493
C+	77 – 79%	1,386 – 1,439
C	73 – 76%	1,314 – 1,385
C-	70 – 72%	1,260 – 1,313
D+	67 – 69%	1,206 – 1,259
D	63 – 66%	1,134 – 1,205
D-	60 – 62%	1,080 – 1,133
F	Below 60%	0 – 1,079

Policy on Incomplete Grades

A grade of "I" indicates assigned work yet to be completed in a given course, or absence from the final examination, and is assigned only upon instructor approval of a student request. The "I" grade may be awarded only in exceptional circumstances beyond the student's control. The "I" grade becomes an "F" if not removed by the day grades are due for the following term, based on specific criteria.

See: [Incompletes, Withdrawals, and Z Grades](#)

Expectations

What you can expect from me, as your instructor:

- I will ensure the accuracy of the course content.
- I will provide clear guidelines regarding the course assignments.
- I will be available to answer your questions during office hours and by email.
- I will provide meaningful feedback in a timely manner.
- I will follow fair and clear evaluation guidelines for all course assignments.
- I will do my best to create a worthwhile learning experience.

What I expect from you, as my student:

- You will complete all course readings and assignments in a timely manner, recognizing that an eight-week course leaves very little room to recover from a missed week.

- You will follow the ODU honor pledge.
- You will follow proper [netiquette](#) in all course communication.
- You will interact with your instructor and classmates professionally and respectfully, avoiding sarcasm and inappropriate language, including the use of ALL CAPS.
- You will acknowledge your classmates' ideas and build on them when contributing to discussion.

Course Policies

Attendance and Participation

This course is fully asynchronous, so there are no scheduled class meetings and no attendance is taken. Participation is measured by the timely completion of module work. Course weeks open Monday at 12:01 a.m. ET and close Sunday at 11:59 p.m. ET, except the final week, which closes Friday, October 16, 2026 at 11:59 p.m. ET. Modules 1 through 5 each run one week; Module 6 runs three weeks with staggered deadlines. Plan to log into Canvas and Connect at least three times per week. Students who do not complete the Module 0 Introduce Yourself discussion and the Module 1 work by the end of Week 1 may be reported for non-participation.

Late Assignments

A penalty of 1 percent per hour is applied to all late assignments, beginning immediately after the due date and time. Plan accordingly and submit early to avoid technical problems. Because the course runs for only eight weeks, extensions are granted only for documented emergencies and must be requested before the deadline where circumstances allow. Technology failure is not an excuse for late submission; save your work frequently and do not begin timed work at the last minute.

Course Disclaimer

The course schedule and activities are subject to change. Changes will be posted as Announcements in Canvas.

AI Usage

Generative artificial intelligence tools may be used to support your learning — for example, to explain a concept you find confusing, generate additional practice problems, or check your understanding after you have attempted the work yourself. They may not be used to produce work you submit for a grade. Submitting AI-generated text or solutions as your own, or using AI tools on activities, homework, the case study, or the final exam, is a violation of the ODU Code of Student Conduct and will be reported. The case study in particular assesses your own analysis and writing; if the reasoning is not yours, the assignment has not been completed. When in doubt, ask me before you use a tool rather than after.

University Policies

Code of Student Conduct and Academic Integrity

The [Office of Student Conduct & Academic Integrity](#) (OSCAI) oversees the administration of the student conduct system, as outlined in the Code of Student Conduct. Old Dominion University is committed to fostering an environment that is safe and secure, inclusive, and conducive to academic integrity, student engagement, and student success. The University expects students and student organizations to uphold and abide by the standards included in the Code of Student Conduct, embodied in a set of core values that include personal and academic integrity, fairness, respect, community, and responsibility.

Cheating includes copying, collaborating, or completing an academic exercise with or for other students or parties without permission from the class-assigned faculty member; paying someone to complete assignments; using any unauthorized materials to assist on assignments; misusing study aids such as Clegg, Quizlet, or Course Hero to complete or pass class assignments; and using test banks or copying answers from another source or student. It also includes the unauthorized use of artificial intelligence tools and any act or behavior that gives a student an unfair advantage.

Honor Pledge

By attending Old Dominion University, you have accepted the responsibility to abide by the Honor Pledge:

I pledge to support the honor system of Old Dominion University. I will refrain from any form of academic dishonesty or deception, such as cheating or plagiarism. I am aware that as a member of the academic community it is my responsibility to turn in all suspected violations of the Honor Code. I will report to a hearing if summoned.

Discrimination Policy

The purpose of this policy is to establish uniform guidelines that promote a work and education environment free from harassment and discrimination, and to affirm the University's commitment to an environment that emphasizes the dignity and worth of every member of the Old Dominion University community. The [Discrimination Policy](#) details the process for addressing complaints or reports of retaliation, as defined by the policy.

Diversity and Inclusion

The [Division of Student Engagement & Enrollment Services](#) values the uniqueness of our Monarch community. The word "engagement" reflects our commitment to embrace the differences in our cultural backgrounds, perceptions, beliefs, traditions, world views, socio-economic status, and cognitive and physical abilities. For more information, please visit the [Office of Intercultural Relations](#).

Educational Accessibility and Accommodations

Old Dominion University is committed to ensuring equal access to all qualified students with disabilities in accordance with the Americans with Disabilities Act. The [Office of Educational Accessibility](#) (OEA) works with students who have disabilities to provide and arrange reasonable accommodations, and can be reached at (757) 683-4655.

Students are encouraged to self-disclose disabilities verified by the Office of Educational Accessibility by providing Accommodation Letters to their instructors early in the term. Accommodations will not be made until Accommodation Letters are provided to instructors each semester. In an eight-week course, please send your letter during Week 1 so that accommodations are in place before the first graded deadlines.

University Email Policy

Email is considered an official means of University communication. Old Dominion University provides each student an email account for teaching and learning, research, administration, and service. It is the responsibility of every eligible student to activate MIDAS, the Monarch Identification and Authorization System, to obtain email access. Expectations associated with email use are outlined in the [Student Email Standard](#). Students are expected to check their official email account frequently and consistently, as mail sent to the ODU address may include notification of academic, financial, and disciplinary actions.

Withdrawal

A syllabus constitutes an agreement between the student and the course instructor about course requirements. Participation in this course indicates your acceptance of its teaching focus, requirements, and policies. Please review the syllabus and course requirements as soon as possible. If you believe the nature of this course does not meet your interests, needs, or expectations, if you are not prepared for the amount of work involved, or if you anticipate that assignment deadlines or course policies will constitute an unacceptable hardship, you should drop the course by the drop/add deadline listed in the [ODU Schedule of Classes](#), which lists the add/drop deadline for the first eight-week session.

Privacy of Student Information

Old Dominion University recognizes its duty to uphold the public's trust and confidence, not only in following laws and regulations, but in following high standards of ethical behavior. The [Privacy of Student Information](#) details the Family Educational Rights & Privacy Act (FERPA), along with other information regarding privacy.

Technical Support

If you experience problems with your ODU account, call (757) 683-3192 or email itshelp@odu.edu at any time, day or night. For McGraw-Hill Connect issues, use the Connect support link in Canvas and keep your case number; forward it to me if the problem affects a deadline.

Course Schedule

The course runs from Monday, August 24, 2026 through Friday, October 16, 2026. Course weeks begin Monday at 12:01 a.m. ET and end Sunday at 11:59 p.m. ET, except the final week, which ends Friday, October 16, 2026 at 11:59 p.m. ET. Modules 1 through 5 each occupy a single week of reading and lecture; Module 6 spans three weeks — Chapter 10 in Week 6, Chapter 11 in Week 7, and Chapter 12 plus comprehensive review in Week 8. Note that reading weeks and deadlines are not identical after Week 3: to keep Week 4 clear for the Case Study Midterm, the Module 4, 5, and 6 activities and homework are each due the Sunday after their reading week. The Assignments Due column below is authoritative — work from it rather than assuming one deadline per module.

Week / Module	Dates (2026)	Chapter and Topic	Assignments Due
Week 1 / Modules 0–1	Aug 24 – Aug 30	Module 0 orientation; Chapter 1: The Fundamentals of Managerial Economics	Module 0 review; Introduce Yourself discussion; Syllabus Acknowledgment; Activity 1; Homework 1
Week 2 / Module 2	Aug 31 – Sep 6	Chapter 2: Market Forces: Demand and Supply	Activity 2; Homework 2
Week 3 / Module 3	Sep 7 – Sep 13	Chapter 3: Quantitative Demand Analysis	Activity 3; Homework 3 (Case Study opens Sep 7)
Week 4 / Module 4	Sep 14 – Sep 20	Chapter 5: The Production Process and Costs	Case Study Midterm only
Week 5 / Module 5	Sep 21 – Sep 27	Chapter 8: Managing in Competitive, Monopolistic, and Monopolistically Competitive Markets	Activity 4; Homework 4
Week 6 / Module 6	Sep 28 – Oct 4	Chapter 10: Game Theory: Inside Oligopoly	Activity 5; Homework 5
Week 7 / Module 6	Oct 5 – Oct 11	Chapter 11: Pricing Strategies for Firms with Market Power	Activity 6; Homework 6
Week 8 / Module 6	Oct 12 – Oct 16	Chapter 12: The Economics of Information; comprehensive review	Comprehensive Final Exam (one attempt)

Module 1: Foundations of Managerial Economics

Week 1 · Aug 24 – Aug 30, 2026 · All work due Sunday, August 30, 2026 at 11:59 p.m. ET

Module Overview

Week 1 begins in Module 0, the Start Here orientation area, where you will review the syllabus, the Canvas and McGraw-Hill Connect workflow, and the accelerated eight-week pace, and introduce yourself to the class. Module 1 then introduces managerial economics as a practical decision-making toolkit, where you learn the core assumptions economists use to analyze real business problems — scarcity, opportunity cost, and marginal thinking — and how these ideas help managers choose the best option when trade-offs are unavoidable.

Module Learning Objectives (MLOs)

After completing this module, you will be able to:

- **MLO1: Navigate** the Canvas course site, McGraw-Hill Connect, module folders, and submission areas, and plan a study schedule for an eight-week accelerated term. (CLO1–CLO6)
- **MLO2: Explain** the three central assumptions of managerial economics — scarce resources, opportunity cost, and marginal analysis. (CLO1)
- **MLO3: Distinguish** between economic and accounting profits and costs. (CLO1)
- **MLO4: Apply** opportunity cost to calculate the present value of the firm and interpret the result. (CLO1)
- **MLO5: Use** the mathematical concept of slope to interpret marginal changes, and apply marginal analysis to determine the optimal level of a managerial control variable. (CLO1)

Required Readings and Resources

- Baye & Prince, Managerial Economics and Business Strategy — Chapter 1: The Fundamentals of Managerial Economics
- Module 0 (Start Here): orientation pages, course syllabus and schedule, and Connect registration instructions (Canvas)
- Course syllabus, course schedule, and grading rubrics (Canvas)
- Instructor slides and video lecture: Module 1

Topics (Canvas pages)

- 1.1 | Scarcity and trade-offs in managerial choices
- 1.2 | Opportunity cost and economic vs accounting profit
- 1.3 | Present value as a decision tool
- 1.4 | Slope as “marginal change”
- 1.5 | Marginal analysis and optimal decisions

Assignments

- Module 0: review all Start Here orientation materials — due Sunday, August 30, 2026, 11:59 p.m. ET
- Module 0: Introduce Yourself discussion (required) — due Sunday, August 30, 2026, 11:59 p.m. ET
- Syllabus Acknowledgment (ungraded, required) — due Sunday, August 30, 2026, 11:59 p.m. ET
- Activity-Based Assignment 1 (Roleplay, 50 points, 2 attempts) — due Sunday, August 30, 2026, 11:59 p.m. ET
- Homework 1 (100 points, 2 attempts) — due Sunday, August 30, 2026, 11:59 p.m. ET

Module Summary

You built the foundation for thinking like a manager using opportunity cost, present value, and marginal analysis. These tools reappear in every module that follows and are the basis for justifying decisions with logic and evidence rather than intuition.

Module 2: Markets, Equilibrium, and Data-Driven Decision-Making

Week 2 · Aug 31 – Sep 6, 2026 · All work due Sunday, September 6, 2026 at 11:59 p.m. ET

Module Overview

Managers operate inside markets, and markets move. This module explains how demand and supply interact to determine equilibrium price and quantity, how shocks shift the market, and how managers can use data — including regression output — to support decisions rather than relying on guesswork.

Module Learning Objectives (MLOs)

After completing this module, you will be able to:

- **MLO1: Explain** demand, supply, and how market equilibrium is determined. (CLO2)
- **MLO2: Identify** the factors that shift demand, shift supply, and change equilibrium price and quantity, and distinguish shifts from movements along a curve. (CLO2)
- **MLO3: Interpret** equilibrium changes in managerial terms and evaluate what a market shock means for the firm's pricing and output. (CLO2)
- **MLO4: Use** regression output to support data-driven managerial decisions, and explain what it does and does not tell you. (CLO2, CLO7)

Required Readings and Resources

- Baye & Prince — Chapter 2: Market Forces: Demand and Supply
- Baye & Prince — Chapter 1 (decision-making framework; interpreting relationships)
- Instructor slides and video lecture: Module 2

Topics (Canvas pages)

- 2.1 | Demand, supply, and equilibrium
- 2.2 | Market shocks: shifts vs movements along the curve
- 2.3 | Managerial interpretation of equilibrium changes
- 2.4 | Using regression output to inform decisions (what it tells you, what it doesn't)

Assignments

- Activity-Based Assignment 2 (Roleplay, 50 points, 2 attempts) — due Sunday, September 6, 2026, 11:59 p.m. ET
- Homework 2 (100 points, 2 attempts) — due Sunday, September 6, 2026, 11:59 p.m. ET

Module Summary

You learned how markets determine outcomes and how shifts in demand and supply change the conditions a firm operates in. You also practiced moving from a market story to a data story. Next you will put numbers on customer responses using elasticity.

Module 3: Elasticity and Demand and Revenue Forecasting

Week 3 • Sep 7 – Sep 13, 2026 • All work due Sunday, September 13, 2026 at 11:59 p.m. ET

Module Overview

Managers constantly ask: if we change price, what happens to revenue? Elasticity provides a quantitative answer. This module develops elasticity as a forecasting tool, connects it to total and marginal revenue, and shows how demand functions — including regression-estimated demand — support prediction. The Case Study Midterm also opens this week.

Module Learning Objectives (MLOs)

After completing this module, you will be able to:

- **MLO1: Apply** elasticities of demand to forecast changes in revenues, prices, and units sold. (CLO3)
- **MLO2: Illustrate** the relationship between the own-price elasticity of demand and total revenue. (CLO3)
- **MLO3: Discuss** the factors that make demand relatively elastic or inelastic. (CLO3)
- **MLO4: Explain** the relationship between marginal revenue and the own-price elasticity of demand. (CLO3)
- **MLO5: Determine** elasticities from linear and log-linear demand functions. (CLO3)
- **MLO6: Interpret** regression-estimated demand functions and use the output for managerial forecasting. (CLO3, CLO7)

Required Readings and Resources

- Baye & Prince — Chapter 3: Quantitative Demand Analysis
- Instructor slides and video lecture: Module 3
- Excel demand-estimation walkthrough (Canvas)

Topics (Canvas pages)

- 3.1 | Price elasticity, income elasticity (and related elasticities as used in the course)
- 3.2 | Elastic vs inelastic demand and total revenue test
- 3.3 | Marginal revenue and elasticity connection
- 3.4 | Elasticity from linear and log-linear demand
- 3.5 | Regression-estimated demand functions: interpretation and forecasting use

Assignments

- Activity-Based Assignment 3 (Roleplay, 50 points, 2 attempts) — due Sunday, September 13, 2026, 11:59 p.m. ET
- Homework 3 (100 points, 2 attempts) — due Sunday, September 13, 2026, 11:59 p.m. ET
- Case Study Midterm opens Monday, September 7, 2026

Module Summary

You learned to use elasticity and estimated demand functions to forecast revenue and to defend pricing decisions quantitatively. Next the course shifts from the demand side to the firm's internal constraints: production and costs.

Module 4: Production, Costs, and Marginal Decision-Making

Week 4 • Sep 14 – Sep 20, 2026 • Case Study Midterm due Sunday, September 20; Activity 4 and Homework 4 due Sunday, September 27, 2026

Module Overview

Even when demand is strong, a firm can fail if it produces inefficiently or scales at the wrong time. This module covers the production relationships and cost concepts managers use to make profit-improving output and scale decisions. The Case Study Midterm is due at the end of this week and is the only deliverable due in Week 4; the Module 4 activity and homework are due a week later, on Sunday, September 27.

Module Learning Objectives (MLOs)

After completing this module, you will be able to:

- **MLO1: Evaluate** production and cost information to identify key cost drivers and constraints. (CLO4)
- **MLO2: Compute and interpret** marginal and average cost measures in the short run and the long run to support output decisions. (CLO4)
- **MLO3: Determine** profit-improving output and input decisions using marginal analysis. (CLO4)
- **MLO4: Assess** economies of scale and scaling decisions, including when to expand capacity. (CLO4)
- **MLO5: Communicate** an evidence-based recommendation in professional written form. (CLO7)

Required Readings and Resources

- Baye & Prince — Chapter 5: The Production Process and Costs
- Instructor slides and video lecture: Module 4
- Case Study Midterm prompt and rubric (Canvas)

Topics (Canvas pages)

- 4.1 | Production relationships and productivity (TP/AP/MP)
- 4.2 | Short-run vs long-run cost behavior
- 4.3 | Cost measures (FC, VC, TC, MC, ATC, AVC)
- 4.4 | Marginal analysis for profit-improving decisions
- 4.5 | Economies of scale and scaling decisions

Assignments

- Activity-Based Assignment 4 (Roleplay, 50 points, 2 attempts) — due Sunday, September 27, 2026, 11:59 p.m. ET
- Homework 4 (100 points, 2 attempts) — due Sunday, September 27, 2026, 11:59 p.m. ET
- Case Study Midterm (300 points) — due Sunday, September 20, 2026, 11:59 p.m. ET (the only deliverable due in Week 4)

Module Summary

You learned how managers translate production realities into cost-aware output and scale decisions, and you delivered a written analysis of a real managerial problem. Next you will see how these decisions change with the competitive environment.

Module 5: Market Structure, Competition, and Market Power

Week 5 • Sep 21 – Sep 27, 2026 • Activity 5 and Homework 5 due Sunday, October 4, 2026

Module Overview

The right strategy depends on the market you are in. This module compares firm behavior across market structures and shows how competition and market power shape pricing, output, and strategy.

Module Learning Objectives (MLOs)

After completing this module, you will be able to:

- **MLO1: Compare** firm behavior across market structures — competitive, monopoly, and monopolistically competitive. (CLO5)
- **MLO2: Assess** how competition and market power influence strategy, pricing, and output decisions. (CLO5)
- **MLO3: Evaluate** how entry conditions and market power affect firm performance over time. (CLO5)

Required Readings and Resources

- Baye & Prince — Chapter 8: Managing in Competitive, Monopolistic, and Monopolistically Competitive Markets
- Instructor slides and video lecture: Module 5

Topics (Canvas pages)

- 5.1 | Competitive markets and price-taking behavior
- 5.2 | Monopoly and pricing power
- 5.3 | Monopolistic competition and product differentiation
- 5.4 | Strategic implications of market power

Assignments

- Activity-Based Assignment 5 (Roleplay, 50 points, 2 attempts) — due Sunday, October 4, 2026, 11:59 p.m. ET
- Homework 5 (100 points, 2 attempts) — due Sunday, October 4, 2026, 11:59 p.m. ET

Module Summary

You compared how firms behave across market structures and how market power changes the options available to a manager. Next you move to settings where rivals react directly to your choices.

Module 6: Strategy in Oligopoly, Pricing Design, and Information Problems

Weeks 6–8 · Sep 28 – Oct 16, 2026 · Activity 6 and Homework 6 due Sunday, October 11; Final Exam open October 12–16, 2026

Module Overview

In many real markets your competitors react, customers differ, and information is imperfect. This module combines game theory, pricing strategy, and the economics of information into a single strategic

toolkit, and it runs for three weeks rather than one. Pace yourself against the chapters: Chapter 10 in Week 6, Chapter 11 in Week 7, and Chapter 12 plus comprehensive review in Week 8. The final exam closes the course.

Module Learning Objectives (MLOs)

After completing this module, you will be able to:

- **MLO1: Apply** normal-form and extensive-form representations of game theory to formulate decisions in strategic environments, including pricing, advertising, coordination, bargaining, innovation, and entry. (CLO6)
- **MLO2: Identify** dominant strategies, secure strategies, and Nash equilibria, and explain when collusion can be sustained in repeated play. (CLO6)
- **MLO3: Formulate** pricing strategies that extract additional surplus — price discrimination, two-part pricing, block pricing, and commodity bundling — and explain the conditions each requires to beat standard markup pricing. (CLO6)
- **MLO4: Explain** how price-matching guarantees, brand loyalty programs, and randomized pricing enhance profits under intense price competition. (CLO6)
- **MLO5: Identify** strategies to manage risk and uncertainty, including diversification and optimal search. (CLO6)
- **MLO6: Diagnose** adverse selection and moral hazard and propose incentive, screening, or contract solutions. (CLO6)
- **MLO7: Integrate** the tools of the course into a single coherent managerial recommendation. (CLO1–CLO7)

Required Readings and Resources

- Baye & Prince — Chapter 10: Game Theory: Inside Oligopoly (Week 6)
- Baye & Prince — Chapter 11: Pricing Strategies for Firms with Market Power (Week 7)
- Baye & Prince — Chapter 12: The Economics of Information (Week 8)
- Instructor slides and video lectures: Module 6
- Comprehensive final exam review materials (Canvas)

Topics (Canvas pages)

- 6.1 | Nash equilibrium, dominant strategies, strategic moves
- 6.2 | Oligopoly competition and strategic interdependence
- 6.3 | Pricing strategies and price discrimination
- 6.4 | Adverse selection vs moral hazard
- 6.5 | Two-part pricing, block pricing, and commodity bundling
- 6.6 | Risk, uncertainty, and optimal search

- 6.7 | Screening, signaling, and incentive contracts

Assignments

- Activity-Based Assignment 6 (Roleplay, 50 points, 2 attempts) — due Sunday, October 11, 2026, 11:59 p.m. ET
- Homework 6 (100 points, 2 attempts) — due Sunday, October 11, 2026, 11:59 p.m. ET
- Comprehensive Final Exam (600 points, one attempt, timed) — open Monday, October 12 through Friday, October 16, 2026, 11:59 p.m. ET

Module Summary

You closed the course by learning to anticipate rival reactions, to price above a single uniform price when conditions allow, and to protect the firm against hidden information and hidden action — then demonstrated integrated command of the full toolkit on the comprehensive final exam.

Case Study Rubric

The Case Study Midterm is scored on the 100-point rubric below; the rubric score is multiplied by three to produce the 300-point grade.

Criteria	Outstanding	Good	Average	Poor
Organization & Structure (20 pts)	Response addressed each question thoroughly and clearly; writing was well organized. (20–16)	Response addressed each question fully; writing was organized. (16–12)	Did exactly what was asked and provided explanations. (12–8)	Writing was disorganized or did not address questions clearly. (8–0)
Grammar (10 pts)	Very few grammatical or spelling errors. (10–8)	Some grammatical or spelling errors. (8–6)	A number of errors; an obvious first draft. (6–4)	Riddled with errors, rendering it nearly unreadable. (4–0)
Formatting & References (10 pts)	Meets all formal requirements; references complete and formatted consistently in one citation style. (10–8)	Meets format requirements; references complete with minor errors. (8–6)	Generally correct formatting; references are complete. (6–4)	Numerous formatting errors; references incomplete. (4–0)
Economic Analysis & Application (60 pts)	Incorporated appropriate supporting facts and applied course concepts to align with opinions and comments. (60–48)	Incorporated supporting facts and course concepts to align with opinions. (48–36)	Provided general responses or opinions; cited only the readings. (36–24)	Did not provide supporting facts, or only summarized the reading. (24–0)